Economically, Negative Liberalism supports free market economy based on demand and supply. It prohibits the State from interfering with the economic activities. The State is akin to a cricket umpire in its powers and functions. The umpire does not play the game but watches whether the players are playing the game in accordance with the laws of the game. Similarly the State should not interfere in the economy as market alone determines its activities.

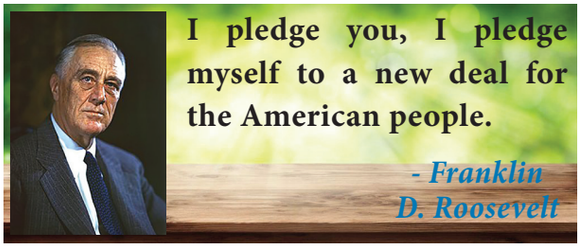
Negative Liberalism believes in the concept of natural rights. When Mother Nature created man, it endowed him with basic rights that are called Natural Rights. The State should not erode or undermine these natural rights. The Rights to Life, Liberty and Property are indispensable for human existence and development. Therefore, the State should never abolish or erode them. The Right to Property is special to the proponents of Negative Liberalism. It is an unlimited right as all individuals can acquire, enjoy and dispose of property without interference from the State.

B. Positive Liberalism

Negative liberalism metamorphosed into Positive liberalism in the 20th century. Even though Negative Liberalism contributed to the generation of unprecedented wealth in the western countries it had also inflicted enormous pain on common people. Glaring inequalities among people, appearance of slums in the cities and exploitation of the workers exposed the deficiencies of Negative Liberalism. Humanist thinkers like Ruskin protested against the misery of the people.

In this backdrop, Negative Liberalism changed into Positive Liberalism because of two important factors i.e. Democracy and Marxism. Nineteenth century witnessed the gradual spread of democracy whereby the common people came to be provided with voting rights. They demanded fundamental changes in politics. The second factor is the advent and rise of Marxism that appealed to the workers to overthrow the exploitative inequality-laden Negative Liberalism. Subsequently, under pressure from democracy and Marxism, Negative Liberalism changed into Positive Liberalism.

The liberal world experienced a devastating Great Economic Depression from 1928 affecting economies of numerous countries including United States of America. The newly elected American President Franklin Roosevelt implemented the New Deal Programme for uplifting American economy from the quagmire of depression.



J.M.Keyne, economic advisor to the American President, played a crucial role in the formulation of the programme signifying the advent of Positive Liberalism. A number of thinkers enriched the content of Positive Liberalism of which T.H.Green, Harold Laski, L.T.Hobhouse are important.

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